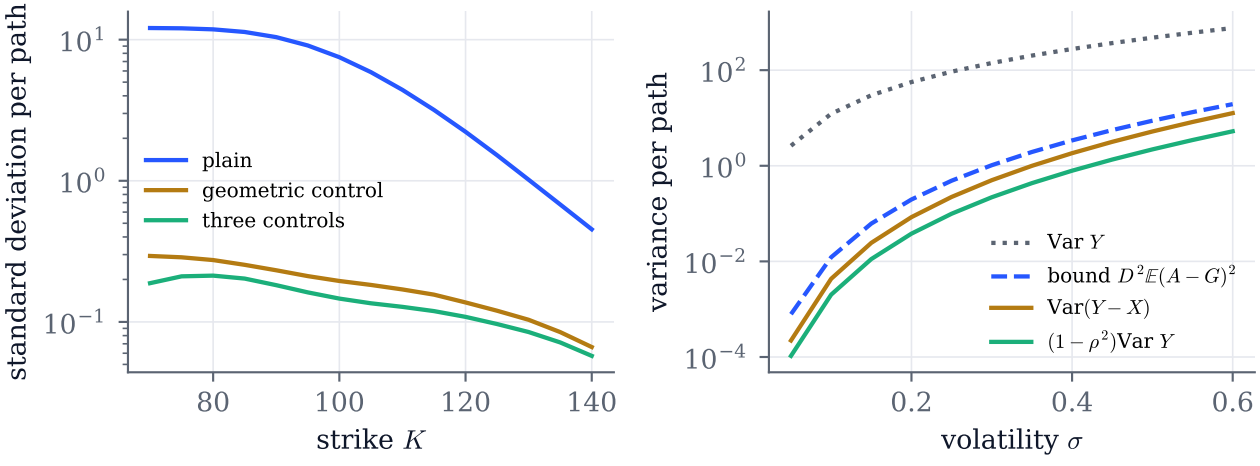
(a) $\sigma = 20\%$
standard deviation per path
10^1
10^0
10^{-1}
plain
geometric control
three controls
80
100
120
140
strike K
(b) $K = 100$
variance per path
10^2
10^0
10^{-2}
10^{-4}
Var Y
bound $D^2\mathbb{E}(A-G)^2$
Var$(Y-X)$
$(1-\rho^2)$Var Y
0.2
0.4
0.6
volatility σ